

Stephen Dossou

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Citizenship: Benin

RESEARCH FIELDS

Primary: Entrepreneurial Finance, Venture Capital

Secondary: Contract Theory and Mechanism Design, Applied Econometrics

EDUCATION

Ph.D. in Economics, Mines Paris – PSL (CERNA, ED SDOSE)

2024 – expected 2027

Advisors: Pierre Fleckinger and Philippe Mustar

Diplôme d'Ingénieur (M.Sc. equivalent), CentraleSupélec

2020 – 2024

Information & Communication Engineering. Optimization, machine learning, network theory, quantitative modelling.

Classes Préparatoires (MPSI, MP*), Lycée Louis-le-Grand, Paris

2018 – 2020

Competitive undergraduate programme in advanced mathematics and physics.

JOB MARKET PAPER

“Protection and Pricing Power in Sequential Venture Financing”

In 2022 Y Combinator began investing on a SAFE carrying a most-favored-nation clause, under which the accelerator converts on whatever terms a later investor obtains. Between the accelerator and the first priced round sits an investor who covers an interim cash shortfall and who chooses both a price and an amount, and the two are not independent: cash advanced beyond the shortfall survives to the round and lightens what the next investor must contribute. I summarize my findings. First, two cutoffs in the intermediate check separate three conversion regimes — the clause is absorbed into that investor's own block, the two prices coincide, or the clause is pushed into the priced round — and these regimes carry strictly ordered financing thresholds. Second, which regime is reachable is decided by how much the investor advances rather than by how the clause is drafted: an investor that merely bridges the shortfall never reaches the first cutoff, so the clause hands equity to the accelerator and leaves the financing threshold exactly where it was, while an investor that pre-funds the round opens up the regimes that raise the threshold and destroy financing states. Third, the clause acts on the amount in a way that carries the investor toward that pivot, since taking a fixed sum out of a block whose size the investor chooses taxes small checks hardest; because pre-funding also lowers the threshold within each regime, the net effect is not signed, and what the model identifies is the ratio that decides it — the interim check relative to the round it bridges to. Fourth, an investor that adopts the clause it is itself the target of loses the ability to price beyond the cutoff and is weakly worse off for holding it. To arrive at these conclusions, I model the accelerator, the intermediate investor, the priced-round investor and the entrepreneur as a sequential financing game, solve the conversion price backwards as a function of the intermediate check, and characterise the investor's joint choice of price and amount over the resulting regimes. *JEL*: G24, G23, D82, D86.

WORKING PAPERS

“Pooling Contracts between Venture Capital Institutions” (with Pierre Fleckinger)

- Venture capital contracts are bargained deal by deal with entrepreneurs, but contracts between institutions are not: an accelerator committing to a venture capitalist, or a venture capitalist committing to a limited partner, faces non-negotiable terms and often commits blind. In an informed-principal framework, when the principal reveals the project’s expected outcome *after* the investor has committed — the LP-to-VC relationship — an optimal pooling mechanism exists and the budget constraint is slack in cash-rich economies, so every profitable project is financed. When revelation comes *before* the commitment — the accelerator-to-VC relationship — the unique optimal mechanism is again pooling, but the budget constraint binds in every economy and some positive-NPV projects are necessarily excluded. The observed uniformity of institutional terms is therefore an equilibrium object rather than an administrative convenience. *JEL*: G24, G23, D82, D86.

“Avoiding the British: Brexit and Partner Choice in European Venture Capital”

- Nothing in the UK’s withdrawal restricted co-investment, yet continental venture capitalists whose pre-determined reliance on British partners was above the median cut the share of their syndicates including a British investor by 8.2 percentage points against a base rate of 18.7% ($p < 0.001$), from the semester of the referendum onwards. The effect is confined to the relational margin: deal counts, stages, round sizes, follow-on financing and exits are all null, established British ties dissolve no faster than comparable continental ones (triple difference +0.3 pp, $p = 0.77$), and aggregate UK–continental volume tracks the rest of Europe. Exposure-based event study on Crunchbase, wild-cluster bootstrap inference.

POLICY REPORTS

“Devenir ETI : les chemins de la croissance”

June 2025

with Pierre Fleckinger, Philippe Mustar and Antoine Prévot.

Chaire etilab, Mines Paris – PSL. Report on the growth of French SMEs into mid-sized firms, combining firm-level statistical analysis, theory, and interviews with company executives.

PRESENTATIONS

EARIE (European Association for Research in Industrial Economics), Mannheim
Pooling Contracts between Venture Capital Institutions (scheduled)

August 2026

Internal doctoral workshop, Mines Paris – PSL (CERNA)
Avoiding the British: Brexit and Partner Choice in European Venture Capital

July 2026

IOEA (Institute of Organizational Economics Academy), Cargèse
Pooling Contracts between Venture Capital Institutions

April 2026

Journée des Doctorants (joint with Université Paris-Dauphine), Mines Paris – PSL
Pooling Contracts between Venture Capital Institutions

March 2026

TEACHING

Microeconomics (undergraduate, first-year engineering cycle)

2024 – 2026

Teaching assistant (*travaux dirigés*), Mines Paris – PSL. Two academic years (2024–2025, 2025–2026); 6 hours of tutorials per year plus exam grading.

PROFESSIONAL EXPERIENCE

Research Assistant, Mines Paris – PSL

Jan. 2024 – Oct. 2024

Research on startups and mid-sized firms in France; construction and analysis of large firm-level financial datasets.

Business Analyst (apprenticeship), Forvia

Sept. 2022 – Jan. 2024

Digital transformation initiatives in an industrial environment; operational monitoring tools.

Marketing Analyst (internship), Manda

Sept. 2021 – Jan. 2022

Acquisition strategy and performance analytics.

Data Scientist (internship), Onogone

July – Aug. 2021

Development and evaluation of NLP models.

SKILLS

Methods: Panel and event-study designs, difference-in-differences and triple differences, wild-cluster bootstrap inference with few clusters, falsification and placebo protocols, mechanism design and optimal control.

Software: Python, R, $\text{\LaTeX}$, Matlab.

Data: Crunchbase; construction of investor-round and dyad-level panels (>1.2M investor-round observations).

LANGUAGES

French (native), English (C1).

REFERENCES

Pierre Fleckinger

Professor, Mines Paris – PSL (CERNA) — pierre.fleckinger@minesparis.psl.eu

Philippe Mustar

Professor, Mines Paris – PSL (CERNA) — philippe.mustar@minesparis.psl.eu